Transaction Cost Analysis Final Report

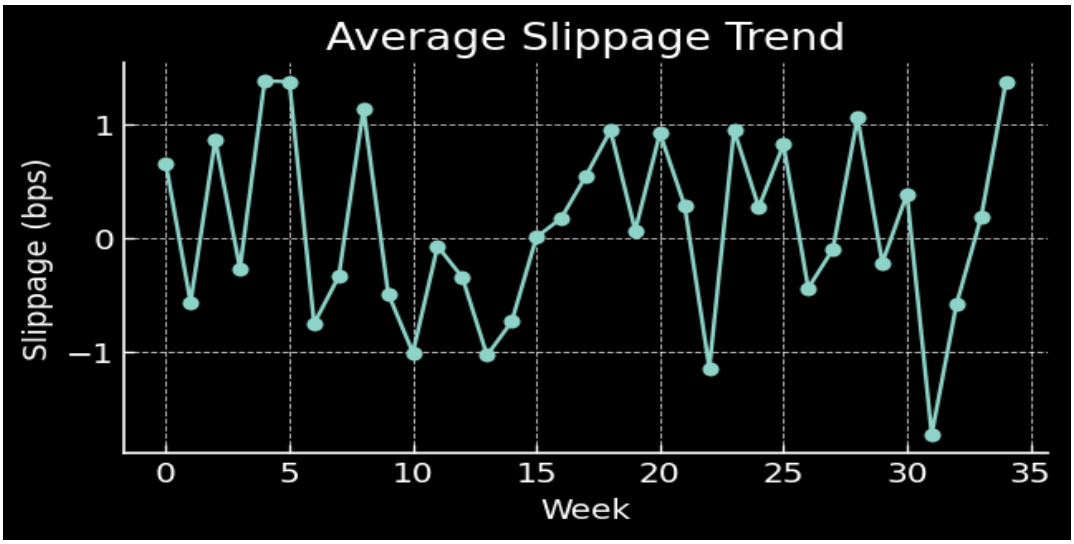
1. Overview

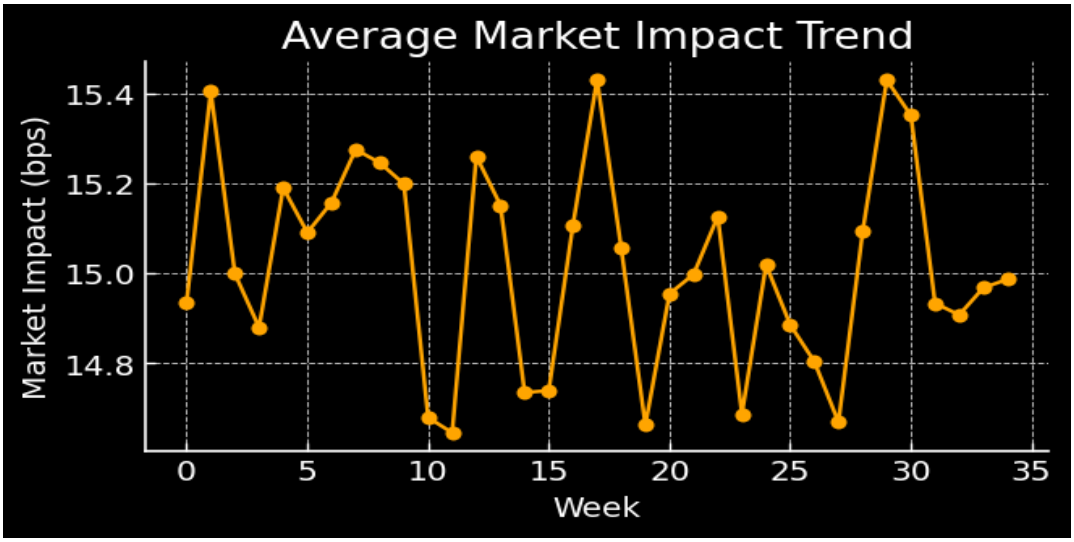
Transaction Cost Analysis (TCA) is a method used to evaluate the efficiency of trade execution. It measures how much trading costs (slippage, commissions, and market impact) affect the overall performance. TCA ensures that portfolio managers understand the hidden costs of trading and optimize their execution strategies.

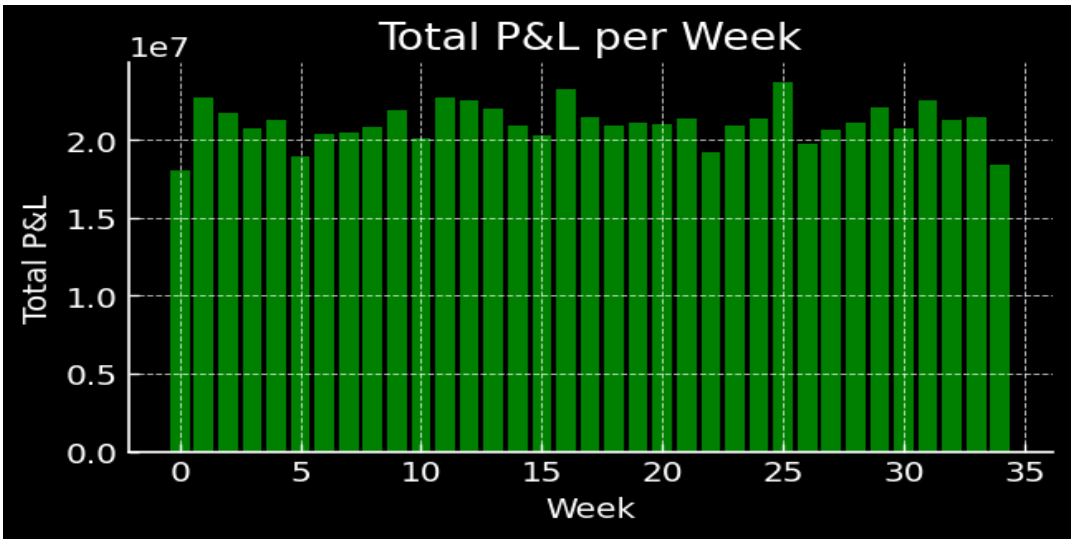
2. Working Process

The TCA process includes the following steps: 1. Collect weekly trading data such as execution prices, slippage, and commissions. 2. Calculate key measures including average slippage (bps), market impact, and total commissions. 3. Evaluate weekly performance and P&L; impact caused by trading costs. 4. Visualize trends to identify patterns or inefficiencies in execution.

3. Visual Results







4. Insights

From the charts above, we can see fluctuations in slippage and market impact over time. High slippage values indicate poor execution efficiency, possibly due to market volatility or large order sizes. Monitoring P&L; helps assess how these costs impact profitability. A stable or increasing trend in P&L; indicates effective cost management and better trading performance.

5. Conclusion

Transaction Cost Analysis helps in identifying execution inefficiencies and improving trading strategies. By analyzing slippage, market impact, and commissions regularly, traders can minimize hidden costs and enhance portfolio returns. Future improvements may include automating TCA reporting and integrating real-time trade monitoring dashboards.